

NVIDIA Corporation

Solid Results/Guide on Continued Strong AI Demand; Blackwell Production/Deployment Ramp Progressing Well; Demand Continues to Outstrip Supply; Reit OW

NVIDIA reported Jan results (revenue/EPS) above consensus estimates (and in-line with market expectations), and off of a higher Jan-Qtr revenue base, the team guided to a 9% Q/Q revenue increase in the Apr-Qtr (\$43B), above consensus (\$42B) on continued strong spending from its customers to support their AI/accelerated compute initiatives (both training/inference) and the continued strong production/deployment ramp of its Blackwell datacenter platform. Blackwell shipments are expected to continue to ramp higher through the year and the team remains on track to ramp its next-gen Blackwell Ultra (B300) platform in the 2H of this year. Demand for Blackwell is very strong and will continue to outstrip supply for several quarters. We believe the team did a good job on addressing AI model innovations like DeepSeek and they continue to believe (as we do) that there are multiple phases/ and innovations in models that will drive overall compute complexity higher (test time inferencing, reinforced learning with AI/synthetic data, agentic AI, and new model variations like WFMs, multi-modal models, etc) and sustain the demand for more and higher performance compute infrastructure. China sales, we estimate, were low-teens% (11-13%) of datacenter revenues in the Jan-Qtr and consistent with the mix in the prior quarter, and continues to be below its peak levels of 25%. On networking, the segment declined in the Jan-Qtr (down 3% Q/Q - expectation was for Q/Q growth) on platform mix shift (HGX/DGX H200/B200 to NVL72 rackscale) and a higher adoption of ethernet based networking platforms. On software, we believe the team did exit the year driving a \$2B in annualized run-rate on strong uptake of its Enterprise AI software and Omniverse software platforms. GM guidance (71%) was about 100bpts below consensus expectations and 50bpts below our expectations and the team expects to continue to drive a "low-70%" GM profile during an aggressive ramp phase at least through the July-Qtr, but is expected to move higher in the 2H on higher production yields /lower expedite fees/strong cost absorption. Bottom line, the team continues to maintain a 1- 2 step lead ahead of competitors with its silicon/hardware/software platforms, and a strong ecosystem (4M CUDA software developers) and the team is further distancing itself with its aggressive cadence of new product launches and more product segmentation over time. We increase our forward estimates and maintain our PT of \$170, and reiterate our OW rating.

Overweight

NVDA, NVDA US
Price (26 Feb 25):\$131.28
Price Target (Dec-25):\$170.00

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Key Changes (FYE Jan)

	Prev	Cur
Adj. EPS - 26E (\$)	4.20	4.42

Quarterly Forecasts (FYE Jan)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.61	0.93	
Q2	0.68	1.04	
Q3	0.81	1.16	
Q4	0.89	1.30	
FY	2.99	4.42	

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	80	87	82	78	83
Growth	21	6	22	61	33
Momentum	30	4	7	8	6
Quality	2	2	3	15	4
Low Vol	66	62	53	51	71
ESGQ	6	2	21	14	4

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-2.2%	-8.0%	-4.1%	66.0%
Rel	-3.5%	-5.6%	-3.0%	48.5%

Company Data

Shares O/S (mn)	24,990
52-week range (\$)	153.13-75.61
Market cap (\$ mn)	3,280,687.00
Exchange rate	1.00
Free float (%)	96.1%
3M ADV (mn)	238.39
3M ADV (\$ mn)	31,696.9
Volatility (90 Day)	54
Index	S&P 500
BBG ANR (Buy Hold Sell)	68 7 1

Key Metrics (FYE Jan)

\$ in millions	FY25A	FY26E
Financial Estimates		
Revenue	130,497	198,059
Adj. EBIT	81,583	122,983
Adj. EBITDA	82,007	123,407
Adj. net income	74,266	108,198
Adj. EPS	2.99	4.42
BBG EPS	4.44	5.45
Cashflow from operations	63,654	90,116
FCFF	60,418	85,808
Margins and Growth		
Revenue Growth Y/Y (%)	114.2%	51.8%
EBIT margin	62.5%	62.1%
EBIT Growth Y/Y (%)	146.7%	50.7%
EBITDA margin	62.8%	62.3%
EBITDA Growth Y/Y (%)	144.8%	50.5%
Net margin	56.9%	54.6%
Adj. EPS growth	131.0%	47.6%
Ratios		
Adj. tax rate	13.4%	17.0%
Interest cover	-	-
Net debt/Equity	NM	NM
Net debt/EBITDA	NM	NM
ROE	121.4%	93.0%
Valuation		
FCFF yield	1.9%	2.7%
Dividend yield	0.0%	0.0%
EV/Revenue	24.9	16.1
EV/EBITDA	39.6	25.9
Adj. P/E	43.8	29.7

Summary Investment Thesis and Valuation

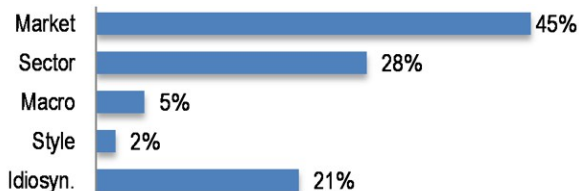
Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

Valuation

We increase our EPS estimates on better revenues stepping into this year, partially offset by a slightly lower GM profile through the year. Our PT remains unchanged at \$170 and assumes the stock trades at 30-35x (33x) times \$5.20 of earnings power exiting CY25. Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.72	0.70
Sect: Technology	0.81	0.73
Ind: Semicond & S Equip	0.94	0.94
Macro:		
US 10yr Breakeven	-0.08	-0.14
Crude Oil	0.01	-0.07
Credit Spread	0.14	0.07
Quant Styles:		
DivYld	-0.29	-0.28
Momentum	0.16	0.28
Size	0.18	0.26

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Strong F4Q25 (Jan-Qtr) results driven by initial Blackwell production ramp and continued strong demand for H200.** NVIDIA reported F4Q25 revenue of \$39.3B (up ~12% Q/Q), above consensus (\$38.25B) led by continued strong datacenter demand, initial Blackwell production ramp (\$11B in Blackwell shipments), and continued Q/Q growth in its prior-gen H200 platform. Datacenter revenue grew ~16% Q/Q on strong demand pull for H200 platform ramp and \$11B in Blackwell shipments (DataCenter Compute up ~18% Q/Q). Networking, down ~3% Q/Q, as the team transitions from NVL8 (H200/B200) Infiniband to NVL72 rackscale solutions using Spectrum X ethernet. Gaming revenues were down ~22% Q/Q on supply constraints. Pro Vis increased ~5% Q/Q. Auto was up ~27% Q/Q on continued ramp of its intelligent cockpit compute solutions, autonomous platforms, and health care applications. GM of 73.5% was in-line with consensus. EPS of \$0.89 was above consensus (\$0.84) on stronger revenues.
- **F1Q26 (Apr-Qtr) guidance above consensus on continued Blackwell production ramp and start of the RTX 50-series gaming ramp.** Apr-Q revenue guidance of \$43B (up 9% Q/Q), above consensus (\$42.26B) on continued production ramp of its Blackwell platform and growth in gaming on the initial ramp of its RTX 50-series platforms. At the midpoint, in F1Q26, the team sees Q/Q growth led by strong Q/Q datacenter and gaming growth. GM is expected to be 71%, below consensus (72.1%) as the team continues to scale its shipments higher and incurs expedite fees to get systems to customers as rapidly as possible. OpEx is guided to \$3.6B. Implied EPS is \$0.93, slightly above consensus of \$0.92.
- **Blackwell production ramps progressing well...and the team continues to unlock Blackwell supply; good job at addressing DeepSeek AI model innovations....** We believe the team did a good job on addressing AI model innovations like DeepSeek and they continue to believe (as we do) that there are multiple phases/ and innovations in models that will drive overall compute complexity higher (test time inferencing, reinforced learning with AI/synthetic data, agentic AI, and new model variations like WFMs, multi-modal models, etc.) and sustain the demand for more and higher performance compute infrastructure. The team remains on track to ramp its next-gen Blackwell Ultra platform in the 2H of this year and overall continues to be in a tight supply environment over the next several quarters.
- **Increasing forward estimates and maintaining our PT at \$170.** We increase our forward estimates on higher revenues entering FY26 and maintain our PT of \$170. We remain Overweight NVDA. Our PT assumes that NVIDIA trades at a 30-35x multiple applied to ~\$5.20 of annualized earnings power exiting CY25E.

Table 1: NVIDIA F4Q25 (Jan-Qtr) Earnings and F1Q26 (Apr-Qtr) Outlook

\$ in millions, except per share data

	F4Q25 (Jan-Q)				F1Q26E (Apr-Q)	
	Actual	JPM Est	Diff	Consensus	Guidance	Consensus
Revenue (\$M)	\$39,331	\$37,500	\$1,831	\$38,245	\$43,000	\$42,264
Q/Q Change	12.1%	6.9%	5.2%			
Gross Margin (excl SBC)	73.5%	73.5%	0.0%	73.5%	71.0%	72.1%
Op Margin (excl SBC)	64.6%	64.1%	0.5%			
Proforma EPS (excl SBC)	\$0.89	\$0.83	\$0.07	\$0.84	\$0.93	\$0.92

Source: Company reports and J.P. Morgan estimates

Table 2: Reporting Segment Summary for F4Q25 (vs. F3Q25)

\$ in millions

	F3Q25	F4Q25	Q/Q	Y/Y	% of Revs
Graphic	\$4,046	\$3,295	-19%	-22%	8%
Compute & Networking	\$31,036	\$36,036	16%	101%	92%
Total	\$35,082	\$39,331	12%	78%	

Source: Company reports

Table 3: End Market Segment Summary for F4Q25 (vs. F3Q25)

\$ in millions

	F3Q25	F4Q25	Q/Q	Y/Y	% of Revs
PC OEM	\$97	\$126	30%	40%	0%
PC Gaming	\$3,279	\$2,544	-22%	-11%	6%
Pro Vis	\$486	\$511	5%	10%	1%
Datacenter	\$30,771	\$35,580	16%	93%	90%
Automotive	\$449	\$570	27%	103%	1%
Total	\$35,082	\$39,331	12%	78%	

Source: Company reports

Balance Sheet and Cash Flow

During the Jan-Qtr, the company generated cash flow from operations of \$16.6B (vs. \$17.6B in the Oct-Qtr) and exited the quarter with \$43.2B in cash, cash equivalents, and marketable securities (vs. \$38.5B in the Oct-Qtr). Inventory increased to \$10.08B in the Jan-Qtr. In F4Q25, NVIDIA returned \$245 million in cash dividend and repurchased \$7.8B in shares.

Investment Thesis, Valuation and Risks

NVIDIA Corporation (*Overweight; Price Target: \$170.00*)

Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in shares, driving our Overweight rating.

Valuation

Our Dec-25 PT of \$170 assumes that NVIDIA trades at a 30-35x (33x) multiple applied to ~\$5.20 of annualized earnings power exiting CY25E (\$1.30 *4). Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

Risks to Rating and Price Target

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.

NVIDIA Corporation: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26E	2Q26E	3Q26E	4Q26E	
Revenue	60,922	130,497	198,059	-	-	Revenue	43,000	46,973	51,650	56,437	
COGS	(16,621)	(32,638)	(54,131)	-	-	COGS	(12,642)	(13,153)	(13,945)	(14,391)	
Gross profit	44,301	97,859	143,928	-	-	Gross profit	30,358	33,821	37,704	42,045	
SG&A	(2,558)	(3,362)	(4,137)	-	-	SG&A	(969)	(1,008)	(1,058)	(1,101)	
Adj. EBITDA	33,493	82,007	123,407	-	-	Adj. EBITDA	25,595	28,824	32,452	36,536	
D&A	(424)	(424)	(424)	-	-	D&A	(106)	(106)	(106)	(106)	
Adj. EBIT	33,069	81,583	122,983	-	-	Adj. EBIT	25,489	28,718	32,346	36,430	
Net Interest	-	-	-	-	-	Net Interest	-	-	-	-	
Adj. PBT	33,680	83,133	124,583	-	-	Adj. PBT	25,889	29,118	32,746	36,830	
Tax	(4,059)	(11,146)	(21,179)	-	-	Tax	(4,401)	(4,950)	(5,567)	(6,261)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	32,312	74,266	108,198	-	-	Adj. Net Income	22,686	25,366	28,378	31,768	
Reported EPS	1.19	2.94	4.20	-	-	Reported EPS	0.87	0.98	1.11	1.24	
Adj. EPS	1.30	2.99	4.42	-	-	Adj. EPS	0.93	1.04	1.16	1.30	
DPS	0.02	0.04	0.04	-	-	DPS	0.01	0.01	0.01	0.01	
Payout ratio	1.3%	1.4%	1.0%	-	-	Payout ratio	1.1%	1.0%	0.9%	0.8%	
Shares outstanding	24,933	24,805	24,489	-	-	Shares outstanding	24,489	24,489	24,489	24,489	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	25,984	43,210	96,798	-	-	Gross margin	72.7%	75.0%	72.7%	-	-
Accounts receivable	9,999	23,065	30,085	-	-	EBITDA margin	55.0%	62.8%	62.3%	-	-
Inventories	5,282	10,080	21,122	-	-	EBIT margin	54.3%	62.5%	62.1%	-	-
Other current assets	3,080	3,771	3,771	-	-	Net profit margin	53.0%	56.9%	54.6%	-	-
Current assets	44,345	80,126	151,775	-	-						
PP&E	3,914	6,283	10,167	-	-	ROE	99.3%	121.4%	93.0%	-	-
LT investments	-	-	-	-	-	ROA	60.4%	83.8%	72.4%	-	-
Other non current assets	17,469	25,192	25,192	-	-	ROCE	67.8%	100.6%	81.8%	-	-
Total assets	65,728	111,601	187,134	-	-	SG&A/Sales	4.2%	2.6%	2.1%	-	-
						Net debt/equity	NM	NM	NM	-	-
Short term borrowings	1,250	0	0	-	-						
Payables	2,699	6,310	7,737	-	-	P/E (x)	101.3	43.8	29.7	-	-
Other short term liabilities	6,682	11,737	11,737	-	-	P/BV (x)	76.2	41.0	21.0	-	-
Current liabilities	10,631	18,047	19,474	-	-	EV/EBITDA (x)	97.5	39.6	25.9	-	-
Long-term debt	8,459	8,463	8,463	-	-	Dividend Yield	0.0%	0.0%	0.0%	-	-
Other long term liabilities	3,660	5,764	5,764	-	-						
Total liabilities	22,750	32,274	33,701	-	-	Sales/Assets (x)	1.1	1.5	1.3	-	-
Shareholders' equity	42,978	79,327	153,433	-	-	Interest cover (x)	-	-	-	-	-
Minority interests	-	-	-	-	-	Operating leverage	369.1%	128.5%	98.0%	-	-
Total liabilities & equity	65,728	111,601	187,134	-	-						
BVPS	1.72	3.20	6.27	-	-	Revenue y/y Growth	125.9%	114.2%	51.8%	-	-
y/y Growth	95.6%	85.5%	95.9%	-	-	EBITDA y/y Growth	433.2%	144.8%	50.5%	-	-
Net debt/(cash)	(16,275)	(34,747)	(88,335)	-	-	Tax rate	12.1%	13.4%	17.0%	-	-
						Adj. Net Income y/y Growth	286.3%	129.8%	45.7%	-	-
Cash flow from operating activities	28,091	63,654	90,116	-	-	EPS y/y Growth	288.4%	131.0%	47.6%	-	-
o/w Depreciation & amortization	424	424	424	-	-	DPS y/y Growth	0.0%	150.0%	0.0%	-	-
o/w Changes in working capital	(5,057)	(11,877)	(19,489)	-	-						
Cash flow from investing activities	(10,566)	(20,421)	(4,308)	-	-						
o/w Capital expenditure	(1,068)	(3,236)	(4,308)	-	-						
as % of sales	1.8%	2.5%	2.2%	-	-						
Cash flow from financing activities	(13,634)	(42,361)	(32,220)	-	-						
o/w Dividends paid	(396)	(834)	(980)	-	-						
o/w Net debt issued/(repaid)	(1,279)	(1,250)	0	-	-						
Net change in cash	3,891	872	53,588	-	-						
Adj. Free cash flow to firm	27,023	60,418	85,808	-	-						
y/y Growth	609.5%	123.6%	42.0%	-	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jan. o/w - out of which

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NVIDIA Corporation (NVDA, NVDA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
26-May-22	OW	16.98	28.5
08-Aug-22	OW	18.99	23
25-Aug-22	OW	17.22	22
23-Feb-23	OW	20.75	25
25-May-23	OW	30.54	50
24-Aug-23	OW	47.12	60
22-Nov-23	OW	49.94	65
22-Feb-24	OW	67.47	85
23-May-24	OW	94.95	115
29-Aug-24	OW	125.61	155
21-Nov-24	OW	145.89	170

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

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